

Since the conversion privilege is the most familiar of the three, we shall frequently use the term “convertible issues” to refer to privileged issues in general.

Such Issues Attractive in Form. By means of any one of these three provisions a senior security can be given virtually all the profit possibilities that attach to the common stock of the enterprise. Such issues must therefore be considered as the most attractive of all in point of *form*, since they permit the combination of maximum safety with the chance of unlimited appreciation in value. A bond that meets all the requirements of a sound investment and in addition possesses an interesting conversion privilege would undoubtedly constitute a highly desirable purchase.

Their Investment Record Unenviable: Reasons. Despite this impressive argument in favor of privileged senior issues as a *form* of investment, we must recognize that actual experience with this class has not been generally satisfactory. For this discrepancy between promise and performance, reasons of two different kinds may be advanced.

The first is that only a small fraction of the privileged issues have actually met the rigorous requirements of a sound investment. The conversion feature has most often been offered to compensate for inadequate security.³ This weakness was most pronounced during the period of great-

For example, Commercial Investment Trust \$6 Convertible Preference, Optional Series of 1929, gave the holder the option to take his dividend at the annual rate of one-thirteenth share of common instead of \$6 in cash. This was equivalent to a price of \$78 per share for the common, which meant that the option would be valuable whenever the stock was selling above 78. Similarly, Warner Brothers Pictures, Inc., Optional 6% Convertible Debentures, due 1939, issued in 1929, gave the owner the option to take his interest payments at the annual rate of one share of common stock instead of \$60 in cash.

It may be said that this optional arrangement is a modified form of conversion privilege, under which the interest or dividend amounts are made separately convertible into common stock. In most, possibly all, of these issues, the principal is convertible as well. The separate convertibility of the income payments adds somewhat, but not a great deal, to the attractiveness of the privilege.

³ The *Report of the Industrial Securities Committee of the Investment Bankers Association of America* for 1927 quotes, presumably with approval, a suggestion that since a certain percentage of the senior securities of moderate-sized industrial companies “are liable to show substantial losses over a period of five or ten years,” investors therein should be given a participation in future earnings through a conversion or other privilege to compensate for this risk. See *Proceedings of the Sixteenth Annual Convention of the Investment Bankers Association of America*, pp. 144–145, 1927.